Quarterly Insights

April 2021



Bringing your Investment Goals to the Next Level

AXYS



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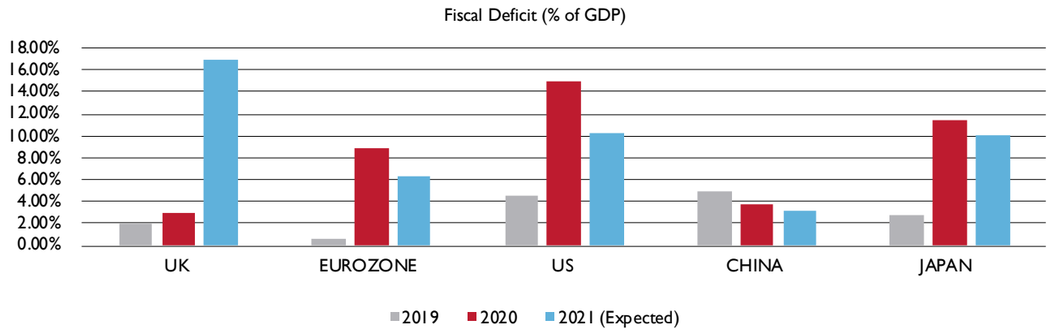
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> Sustainability is no longer about doing less harm, it's about doing more good.
>
> **Zeitz (CEO Harley Davidson)**

Macroeconomic Outlook - Global

Financial markets have been adjusting to the reality of a supposed new global economic cycle over the first quarter of 2021. As governments continue to inject significant funds in a rapidly recovering vaccinated economy, there are increasing signs that the economy could overheat in the foreseeable future. While central bankers have repeatedly dimissed the threat of rising inflation over the medium term, markets have been quite edgy about rising inflationary pressures and have, in fact, refused to heed the guidance of central banks. Rising yields at the long end of the yield curve have been a feature of most developed countries over the quarter. For instance, the yield on the sovereign US 30 year debt has risen by 77 basis points to reach a post-pandemic high of 2.41%. Should inflation prints surprise to the upside in forthcoming months, investors should expect these yields to rise further. As the global economy progressively reopens amid ongoing vaccination campaigns, the level of economic activity has picked up markedly with the manufacturing sector leading the way; the US ISM Manufacturing print for March was the highest since 1983. The combination of pent-up demand and ambitious government fiscal plans have pushed commodity prices higher. The Bloomberg Commodity Index, a widely followed gauge for commodities rose by 6.91% in Q1'21. Key economic sectors hardly hit by the pandemic like the automobile and hospitality industries are also making a comeback as the economic outlook brightens. In so many ways, there seems to be a reversal of many of the trends which were prominent post-COVID 19. In this context, it is thus unsurprising to witness an underperformance from technological stocks as well as emerging markets, including China. Indeed, the world's second largest economy saw demand for its products boom last year as other economies went into lockdown.

In this strange world where government indebtedness is soaring globally and start ups are rising to valuation levels unseen since the dot-com crisis, investors are warming up to disruptive assets. The meteoric rise of crypto currencies cannot be ignored while long term gold investors have basically shrugged off the recent correction in gold prices. This new economic cycle is rooted in disparity and structural imbalances and asset allocators have to tread carefully and selectively in this new economic normal.



Source: Office for National Statistics UK; ECB Statistical Data Warehouse; US office of Management & Budget; Congressional Budget Office; China Ministry of Finance; Japan Ministry of Finance; UBS; Fitch; OECD

Asset Class Performance

Equities (in local currency)	Value	Q1'21	6 Months	12 Months
S&P 500	3,973	6.17%	19.06%	56.33%
DOW JONES	32,982	8.29%	10.73%	53.78%
EUROSTOXX 50	3,919	10.78%	11.43%	44.38%
FTSE 100	6,714	4.97%	10.87%	22.41%
DAX	15,008	9.40%	7.51%	51.05%
CAC 40	6,067	9.59%	15.76%	41.03%
ASX 200	6,791	4.65%	13.81%	38.65%
NIFTY	14,691	5.34%	24.64%	72.97%
SHANGHAI COMP	3,442	-0.89%	7.97%	28.10%
JSE AFRICA ALSI	66,485	13.15%	9.75%	54.09%
SEMDEX	1,600	-2.91%	9.76%	2.78%

Currencies*	Rate	Q1'21	6 Months	12 Months
EUR vs USD	1.17	0.08%	0.08%	6.34%
GBP vs USD	1.38	0.83%	6.68%	10.97%
JPY vs USD	111	-6.68%	-4.76%	-2.87%
AUD vs USD	0.76	-1.25%	6.09%	23.93%
BRL vs USD	5.63	-7.79%	-0.45%	-7.60%
ZAR vs USD	14.8	-0.55%	13.36%	20.72%
CNY vs USD	6.55	-0.39%	3.64%	8.08%
MUR vs USD	40.8	-2.64%	-2.27%	-3.83%
MUR vs EUR	47.8	1.46%	-2.34%	-9.52%
MUR vs GBP	56.2	-2.76%	-7.85%	-11.11%
MUR vs ZAR	2.76	-2.14%	-16.00%	-25.39%

*A+1.00% change in A vs B means an appreciation of 1.00% of currency A versus currency B

Fixed Income	2Y (%)	Q1'21	10Y (%)	Q1'21
United States	0.16	0.04	1.74	0.83
Germany	-0.69	0.01	-0.29	0.28
United Kingdom	0.10	0.26	0.85	0.65
Italy	-0.38	0.03	0.67	0.13
France	-0.66	0.03	-0.05	0.29
Australia	0.09	0.01	1.79	0.82
China	2.74	0.03	3.19	0.04
South Africa	5.32	0.77	9.50	0.75
India	4.67	0.80	6.17	0.30
Mauritius	1.05	0.00	2.50	0.20

Commodities (in US Dollars)	Value	Q1'21	6 Months	12 Months
Commodity Index	83.4	0.07%	10.17%	34.90%
Crude Oil WTI	63.5	22.66%	26.50%	179.42%
Brent Oil	59.2	21.93%	20.64%	188.87%
Gold (ounce)	1708	-10.04%	0.66%	8.28%
Silver	24.4	-7.52%	13.63%	74.73%
Palladium	1187	10.76%	20.03%	64.22%
Copper	400	13.54%	16.04%	79.33%
Iron Ore	1174	8.80%	12.34%	72.14%
Wheat	618	-3.51%	10.81%	8.66%
Sugar	14.8	-4.65%	18.52%	41.75%

Preamble

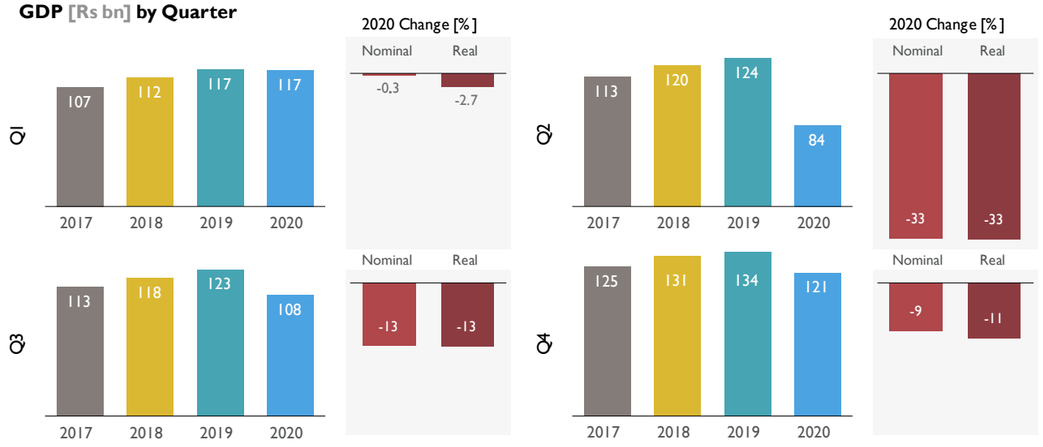
A year ago, the Repo stood at 2.85% (now: 1.85%); Government borrowed at 1.4% per year (now: 0.3%); we borrowed from banks at 5.7% per year (now: 4.7%); our Rupees earned 1.3% per year (now: <0.5%) with banks; we needed Rs38, Rs42, and Rs47 respectively to buy $1, €1, and £1 (now: Rs40, Rs48 & Rs55); Moody's had downgraded Mauritius' Baa1 outlook from "Stable" to "Negative" (now: Baa2 -ve); we didn't know what corporate bail-out packages would look like (now: we have the Mauritius Investment Corporation); we feared we would have burnt through our $7.0bn Reserves (now: $7.4bn); and also feared the 1st GDP contraction in a generation would be the end of it. Yet, here we are, a year later. **So, was all the doom and gloom warranted?**

On top of the devastating impact of the pandemic , the European Union placed us on their list of *"High Risk Third Countries"* (aka EU Blacklist). The expected exodus of foreign depositors did not materialise , although it remains a possibility, should our regulators not fix the remaining shortcomings identified by the Financial Action Task Force (FATF). Meanwhile, moving Euros requires additional paperwork and is taking a little longer than we were used to, which is our best case under the circumstances.

According to our calculations, **the Mauritian economy has been running at ~85%** since the end of the 1st confinement. Sure, there remain many palpable downside risks for the economy going forward. Some are linked to continuing uncertainties with regards to the pandemic, but the silver lining is that Mauritius has started its vaccination campaign. Some downside risks are at the supervisory level (e.g. EU Blacklist), while others relate to the missed opportunity to enact long overdue structural adjustments to select industries.

Economic Performance

GDP [Rs bn] by Quarter



Sectorial views

Financial Services

Profits for banks and consumer finance companies throughout 2020 were, as expected, **severely impacted by additional impairments** arising as a direct consequence of the pandemic. However, **operating incomes** have **exhibited resilience** (either stable or improved during H2-2020). We nonetheless remain concerned about the appropriateness of impairment levels booked thus, given that loans which have been granted moratoria are exempt from being impaired. We **expect the incremental impact of the 2nd confinement on credit quality to be limited.** Further, Moody's ratings downgrade of MCB Bank to 'Baa3 – ve' will not impact the bank's ability to pursue trade financing activities in the *'Energy & Commodities'* space. We therefore see no rationale to, at this stage, review our stance on banks which are both trading at discounts to our fair valuations.

Travel & Leisure

The 2nd lockdown doesn't change the fact that the hospitality industry has been at a standstill and supported by government wage assistance for almost a year. On the contrary, government has requisitioned some 900 rooms for quarantining locals who may have been exposed to the COVID-19. Therefore, some might even benefit from this re-confinement.

The industry's bail-out took the form of preference shares – so that accountants can treat them as "equity" – issued to the **Mauritius Investment Corporation** (MIC) coupled with government wage assistance. LUX*, Beachcomber, and Sun have respectively received Rs1bn, Rs2.5bn and Rs3bn from the MIC. The risk of collapse of a hotel group is therefore less probable now than it was a year ago. The 2nd Mauritian lockdown does not alter that, but European re-confinements do. While IATA expects travel to return to pre-pandemic levels in 2023-24, in the short term, the return of tourists will depend on our ability to be agile and tap into non-traditional markets as the Maldives have done.

Agriculture

Sugarcane growth doesn't depend on confinement. Consequently, other than a possible delay in harvesting, this confinement shouldn't affect the industry either. That said, climatic conditions (persistent shortfall in rain) as well as continuing land abandonment, could. The Mauritius Sugar Syndicate expects prices to stand ~8% higher for the current harvest which, coupled with cost cutting initiatives and potential implementation of the World Bank report's findings could lead to non-loss-making operations sooner rather than later.

On the contrary, Sugar Conglomerates – thanks to their massive land banks – have benefitted from the pandemic. Given the non-existent returns on term-deposits and the local market's crash, the risk-averse Mauritian has instead ploughed his/her savings into the safest value preserve he/she could fathom: **bare land**. Indeed '***morcellement***' plots brought to market in well located areas by sugar conglomerates have been flying off-the-shelves.

Although we are not convinced there exists enough demand to buy up all the land should landlords simultaneously put up plots sale, we do not foresee significant downside risks for sugar conglomerates in the medium term. Further those with operations abroad could benefit from higher sugar prices on the continent.

Trade

Unlike the 1st lockdown which took us into unchartered territory, the 2nd lockdown reeks of *'déjà vu'*. This time around, **we believe restaurateurs, retailers, and providers of beauty services** (e.g. nail salons) **will be among the worst affected by this 2nd lockdown.** However, the impact will be uneven: some smaller businesses might not survive it, whereas others – mainly those who've invested in moving part of their business online – would be less impacted, if not thrive.

Based on card transactions, whose growth slowed (up by <1%) throughout H2-2020, it is evident that **the Mauritian consumer is being significantly more cautious with his/her spending. This trend is expected to worsen following the 2nd confinement period especially if the unemployment rate rises further.** We therefore believe that traditional must-have consumer non-cyclical companies will see a small – but noticeable – contraction in both revenue and margins in 2021.

Manufacturing

Work-from-home coupled with the rise of delivery has in fact changed buying patterns of consumers. In example, while demand for shirts slumped, that for t-shirts surged. Consequently, local manufacturers who've been able to adapt to the changes since the first confinement should therefore emerge relatively unscathed from this lockdown as **we do not anticipate any of the order cancellations registered in H1-2020. The Rupee's steep depreciation** has no doubt helped in alleviate some of the pain manufacturers have been experiencing. Further, **disruptions** to the **international supply chain will be less consequential** given that Air Mauritius has maintained flights on select destinations and that port activities are ongoing.

Property (Yielding)

The **impact on "yielding" property companies has been rather asymmetrical.** While rent on hotel-linked property companies are effectively on hold, select office and retail (to some extent tourism dependent) landlords experienced a 15% drop in accrued rent during H2-2020 stemming from higher vacancies. In contrast, some mall owners emerged relatively unscathed even though "consumer spending patterns" have changed and some retailers have been placed into liquidation. We **expect retail vacancies to increase incrementally in coming months** should mom-and-pop, retail chains, and restaurateurs be driven to closure. The downside risks, including pressure on both rentals and valuations, to retail focused landlords could well be higher this time around.

Property (Construction)

According to available **Foreign Direct Investment** data, investment flows (mostly geared towards property) were

down 40% between Q2'20 and Q3'20 when compared to the preceding corresponding period. This figure was nonetheless 11% higher than corresponding levels from 2018. Although some projects were shelved or postponed, we didn't see a significant dry-up in leads nor major delayed property purchases.

Similarly, revenues for companies with **contracting and building materials** businesses were higher in H2-2020 with some companies recording rebounds of up to 40% year on year in Q3'20. Consequently, we expect Contractors and Building Materials companies to over time **catch-up any delays incurred due to the 2nd confinement.** Having said that, the rate of new project developments in our 85% economy could remain subdued in the medium-term.

Professional Services

With regards to Global Business, Mauritius being added to the infamous EU blacklist remains a grave concern. Although there is a **slowdown in new business** within this industry, operators are unable to clearly attribute this drop in demand either to the pandemic or to the blacklisting. The way forward for Global Business will largely depend on how swiftly Mauritius can get itself stricken off from the Financial Action Taskforce's grey list. The one sector which has recorded growth throughout 2020 are tech-related outsourced services, demand for which surged amid the prolonged *"work from home"* in Europe.

Yields

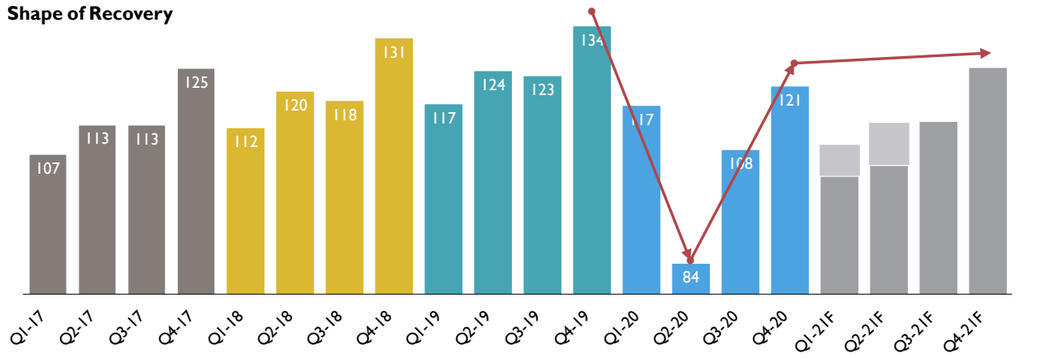
While the Repo rate has been reduced by 1.5%-pts to 1.85%, the **rates** at which the **Government of Mauritius borrows** from Mauritians has fallen by ~2%-pts. This is likely driven by a reduced "risk appetite" by banks and investors who have been shifting more funds into government instruments. The domestic stock market is currently **yielding 0.8%** with just about one-third of stocks having a dividend yield that is not zero. Among yielding stocks, the **median Dividend Yield stands at 2.4%** which is well above fixed deposit rates presently being offered.

Conclusion

The Mauritian economy has been an "~85% Economy" post-confinement, i.e. it is operating sub-optimally; yet it is also a sign of resilience given the importance of the hospitality industry which has effectively remained shut down for a year albeit thanks to government assistance. We estimate the **incremental impact of the 2nd lockdown** to range between **Rs300M and Rs350M** per day against Rs550M to Rs600M in 2020. This smaller incremental impact stems from the fact that we're only operating at 85%, but also because we were better prepared. Work Access Permits (WAPs) were delivered within days; those able to Work-from-Home were likely up and running with less friction than last time; supermarkets, banks and the stock exchange were only shut for a day. Manufacturers are unlikely to see their export orders cancelled and logistical disruptions will be smaller thanks to an operational harbour and Air Mauritius maintaining flights to selected destinations. The worst affected will be retail shops (some of which won't survive), restaurants, 'snacks', and beauty parlours. On a brighter note, once vaccinations reach critical mass (targeted for August) and our borders re-open without a 14-day quarantine requirement, tourist arrivals will no doubt offer fresh impetus to our 85% economy. Sure, things might get worse in the short-run, but should start looking brighter thereafter.

Economic Performance

Shape of Recovery



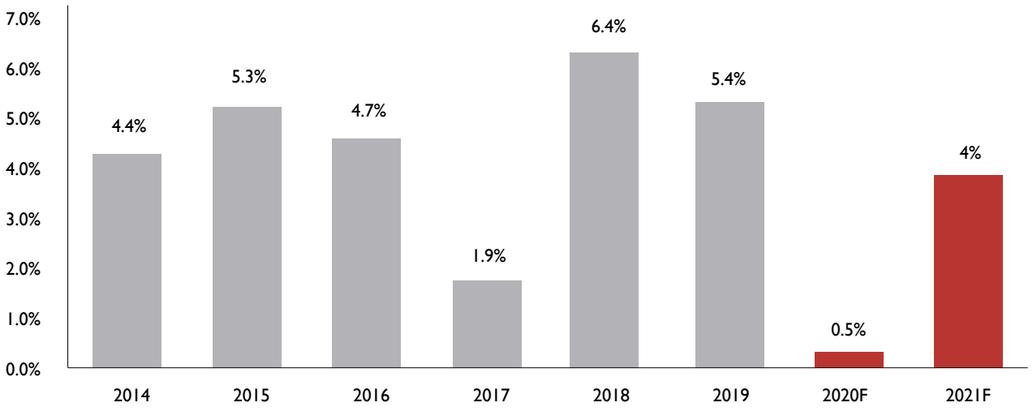
Macroeconomic Outlook - Mauritius

Equities (in local currency)	Value	Market Cap.	Q1'21	6 Months	12 Months
MCB Group	219.50	52,556	-8.0%	3.9%	4.4%
SBM Hldg	3.50	9,036	-2.8%	7.0%	-25.2%
ABC Banking	16.25	1,239	-7.1%	-4.4%	-33.8%
CIM Fin Svcs	6.90	4,696	7.5%	13.9%	14.6%
Fincorp Inv	18.40	1,902	-0.5%	14.6%	-8.0%
MUA	96.75	4,847	7.5%	8.7%	28.3%
SWAN General	303.00	2,508	1.0%	0.7%	2.7%
Beachcomber Res	4.60	2,525	-15.8%	-10.2%	-21.8%
LUX* Res	26.95	3,695	1.3%	4.1%	16.2%
Sun Res	14.65	2,555	6.2%	1.0%	-11.2%
Lottotech	8.30	2,822	-10.6%	11.3%	13.7%
Alteo	20.55	6,545	-1.0%	41.7%	46.8%
Terra	20.00	4,551	1.0%	3.4%	21.2%
Omnicane	13.90	931	-7.9%	2.2%	-10.9%
Medine	38.00	3,990	-9.5%	31.0%	-32.1%
IBL	44.50	30,270	-6.2%	1.1%	11.3%
CIEL	4.50	7,590	19.0%	47.5%	7.1%
ENL	15.20	5,700	1.0%	8.6%	-18.1%
Rogers & Co	20.10	5,066	-8.6%	-1.0%	-12.6%
Gamma-Civic	35.00	4,664	20.9%	28.9%	20.7%
Excelsior Utd Dev	14.10	1,712	8.5%	41.0%	15.1%
Innodis	43.55	1,600	0.1%	1.3%	9.3%
Mtius Oil Ref	20.60	686	-0.5%	-6.4%	8.4%
Phoenix Bevs	597.00	9,819	1.0%	2.8%	6.6%
Livestock Feed	17.20	1,625	0.2%	16.7%	9.8%
Vivo Energy Mtius	226.75	6,649	3.1%	-0.1%	40.8%
Ascencia	21.25	10,355	22.8%	32.8%	6.2%
Attitude Property	10.50	1,680	-7.9%	-9.5%	-7.1%
Caudan Dev	0.91	1,820	-5.2%	-1.1%	-17.3%
Semaris	0.92	505	-8.0%	-7.1%	-29.2%
Lavastone Prop	1.31	891	-16.0%	-3.0%	-6.4%
Grit RE Inc Grp	0.66	8,745	-12.0%	-5.1%	-21.9%
Utd Basalt Prod	128.50	3,407	6.6%	7.1%	24.8%
Mtius Dev Inv Trust	2.20	931	-6.4%	12.2%	-18.5%
POLICY	3.66	831	-8.7%	-8.5%	-33.5%
National Inv Trust	37.60	1,030	0.3%	12.2%	21.7%
Promotion & Dev	73.00	2,845	-5.2%	-8.8%	-23.2%

Following the easing of lockdown measures in Kenya, economic growth is expected to have picked up in 1Q21 as business activity resumed and consumer spending increased. This occurred against a backdrop of:

- **Stable inflation:** During the quarter, headline inflation gradually increased from 5.7% at the end of 2020 to 5.9% in March 2021
- **Relatively stable shilling:** The shilling lost 0.3% and 1.6% against the USD and the GBP, respectively, but gained 3.8% against the EURO
- **Accommodative monetary policy:** The Central Bank maintained the Central Bank Rate (CBR) at 7.0%
- **Increased private sector credit growth:** As economic conditions improved, commercial banks increased lending to the private sector

In 2021, economic growth is expected to accelerate. The World Bank and IMF growth estimates stand at 6.9% and 7.6% respectively. We, however, believe that these estimates are too optimistic. Delayed vaccine distribution, new lockdowns, and unsupportive fiscal policy dampen the country's growth prospects. In our view, economic growth is likely to come in at 4%. Economic growth in Q2'21 is likely to be negatively affected by the latest lockdown measures which were imposed by the Kenyan Government on the 26th of March to combat a surge in coronavirus infections. In this round, the government has



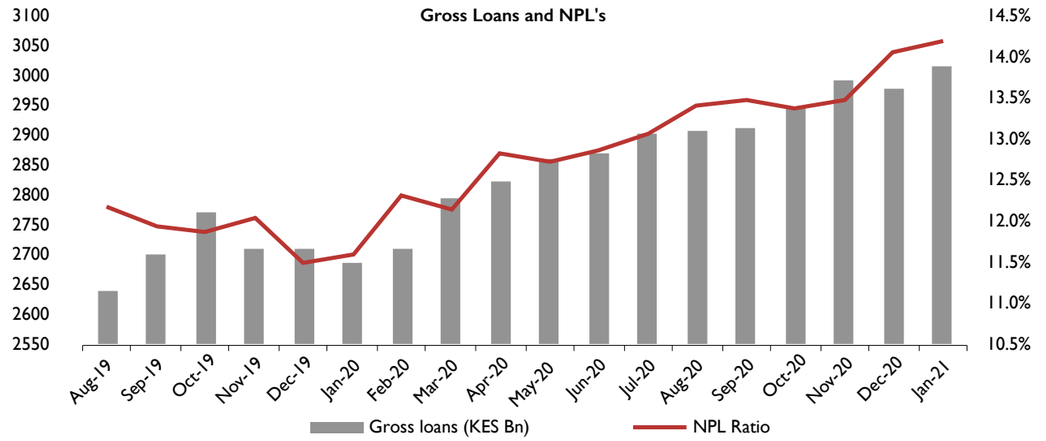
restricted inland travel, banned social gatherings, and extended curfew hours. Although the government hasn't announced any fiscal or monetary measures to help cushion Kenyans, the overall impact of the current lockdown is likely to be less as many businesses have already adapted to remote working.

Impact

Sectors that are likely to be most affected are the Accommodation & Restaurant and the Transport sectors. Meanwhile, in the Financial sector, a key concern in the current environment remains the rising NPLs (Non-Performing Loans) in the banking system. In March 2020, the Central Bank announced emergency measures to provide relief to borrowers through restructuring of loans. Over the last year, loans amounting to KES 1.7 trillion (57% of total gross loans) were restructured. We expect the NPL ratio to remain elevated as businesses struggle to survive. The outstanding restructured loans as at the end of February amounted to Ksh.569.3 billion (19% of the total gross loans). Although loan loss provisions are expected likely to remain elevated, profitability in the banking sector is likely to be buoyed by an increase in interest income (higher yields on loans and government bonds), and higher non-funded income as banks reintroduce fees & commissions which were removed during the COVID-19 period.

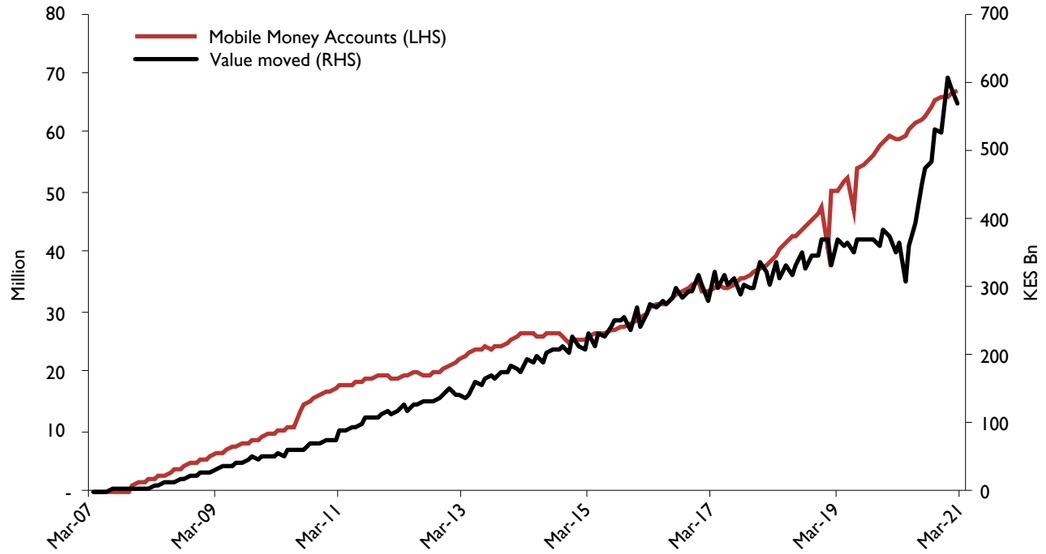
Increased use of mobile money: During the pandemic, the government zero-rated mobile transactions below KES 1,000 as it sought to encourage cashless transactions. This led to a surge in mobile money transactions (from KES 350 billion in February to KES 605 billion in December 2020). The removal of charges encouraged Kenyans to use the mobile money platforms. A slight dip was recorded in January 2021 after transactional charges were re-introduced but we expect volumes to remain above pre-COVID levels although growth may be lower.

Macroeconomic Outlook - Kenya



Impact of fiscal policy: Kenya's budget deficit (7.8% of GDP in 2020) continues to grow as expenditure remains elevated while revenue falls below target. To plug this deficit, the government has increased its domestic borrowing which has led to:

- **Reduced money market liquidity:** In 2020, liquidity in the money market increased after the Central Bank had reduced the CRR (Cash Reserve Ratio). Increased government borrowing and slow disbursement of funds have led to a decrease in liquidity as evidenced by the increase in the interbank rate (from 3.7% in Q4'20 to 5.01% in Q1'21).
- **Rising yields:** The government has been issuing long-term bonds as it seeks to lengthen the maturity of its debt. Demand for government bonds, however, remains on the short to medium term end of the yield curve. Thus the government continues to accepted aggressive bids as it seeks to meet its domestic borrowing target.
- **Crowding out of the private sector:** As yields on government papers increase and economic uncertainty prevails, commercial banks are likely to increase their risk-free assets. Private sector credit growth is therefore likely to remain muted.

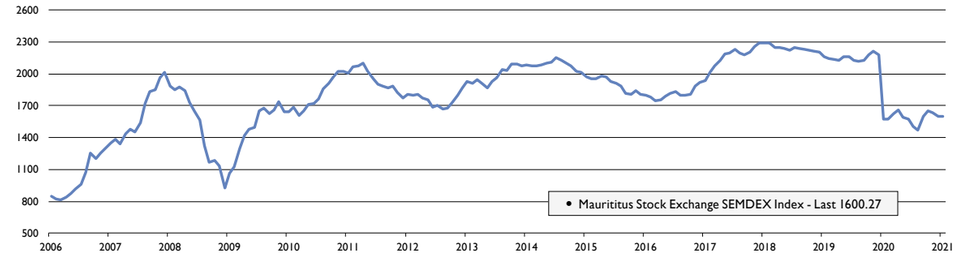


Conclusion

Overall, we remain positive about Kenya's growth prospects as we expect the economy to grow at 4%. Higher food and fuel prices are likely to push headline inflation above 7.5%. The KES is expected to remain stable supported by CBK's intervention in the currency market. Meanwhile, the equity market is likely to recover as investor sentiments improve. Company earnings are expected to improve on the back of a pickup in economic activity.

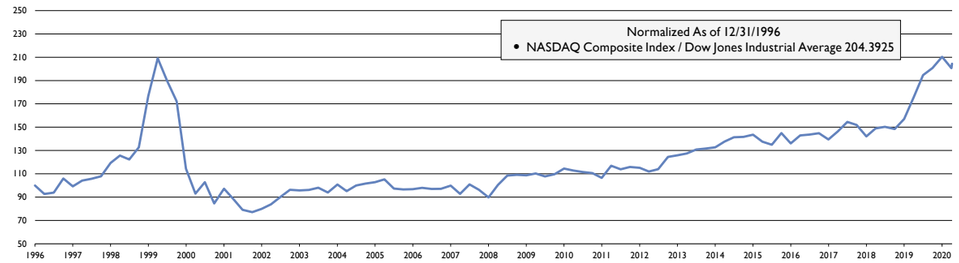
Equities (in local currency)	Value	Market Cap.(Mn)	Q1'21	6 Months	12 Months
ABSA Group	8.82	118	-8.7%	-10.2%	-11.8%
Bamburi Cement	36.55	2,924	-3.4%	55.2%	30.5%
British American Tobacco	475.00	237,500	31.6%	36.5%	49.5%
Bank of Kigali	20.25	567	-1.2%	66.7%	12.5%
Britam Holdings	7.02	63	-3.3%	-5.9%	-7.9%
Carbacid Investments	11.60	93	-4.1%	42.5%	35.5%
CIC Insurance Group	2.08	6	-2.3%	-1.4%	-9.2%
Co-operative Bank	13.20	216	5.6%	11.4%	8.6%
Crown Paints	41.90	2,619	10.3%	-0.2%	-14.4%
Centum Investment	15.60	460	-2.8%	-23.2%	-38.9%
Diamond Trust Bank	62.75	6,840	-16.3%	4.6%	-11.3%
East African Breweries	158.00	31,363	2.4%	-6.6%	-2.8%
Equity Group	37.95	2,030	3.8%	3.4%	9.4%
STANLIB FAHARI I-REIT	6.76	64	19.9%	29.0%	14.6%
HF Group	4.01	26	20.8%	1.0%	-9.1%
I&M Holdings	50.00	2,700	11.1%	13.0%	0.0%
Jubilee Holdings	270.50	94,946	-4.8%	11.8%	11.8%
KCB Group	41.30	2,230	8.4%	5.6%	13.6%
KenGen	4.55	26	-3.4%	-10.8%	-14.5%
Kenya Re Insurance	2.44	7	5.2%	1.7%	14.0%
Kenya Power	1.35	4	-21.1%	-22.9%	-29.7%
Kakuzi	355.00	120,700	-2.7%	-7.8%	9.2%
Liberty Holdings	8.24	3,411	7.0%	8.1%	2.7%
Longhorn Publishers	4.06	27	-16.8%	-14.3%	-17.1%
Nairobi Business Ventures	4.20	3	-1.9%	536.4%	600.0%
NCBA Group	25.15	927	-6.0%	9.3%	-5.3%
Nation Media Group	16.85	671	9.1%	-5.9%	9.4%
Nairobi Securities Exchange	7.88	97	-3.4%	-8.8%	1.8%
Sasini	17.20	291	-11.8%	-14.0%	-3.4%
Stanbic Holdings	81.25	8,877	-4.4%	-0.3%	-3.6%
WPP Scangroup	5.40	93	-10.0%	-18.9%	-67.3%
Standard Chartered Bank	141.75	28,704	-1.7%	-11.4%	-16.5%
Safaricom	36.25	1,142	5.8%	22.1%	26.5%
Standard Group	21.00	579	-6.7%	12.6%	-4.5%
Sanlam	10.80	186	-16.6%	-16.9%	-20.0%
Total Kenya	23.50	646	-2.1%	0.2%	-3.7%
TPS Eastern Africa	17.95	315	12.2%	5.9%	24.7%
Umeme	7.12	59	-2.2%	1.7%	-0.3%
Unga Group	30.70	1,044	-3.5%	2.3%	3.0%

Mauritian Equities



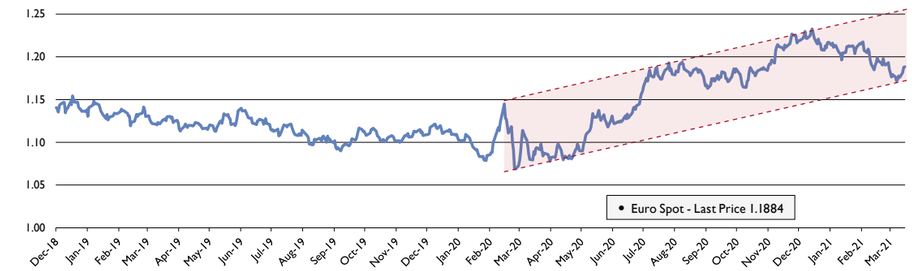
The Mauritian economy was hard hit by the pandemic as the all-important tourism sector shut down. The SEMDEX Index tumbled by more than 30% from its pre-pandemic level and has hardly recovered since. While the outlook for the economy remains challenging, we believe there is some room for optimism over the next 12 months. The second lockdown will be economically less painful while the ongoing vaccination campaign suggests it will not be too long before the country is ready to welcome tourists again. Mauritian equities should partially recover then.

Tech : It's 1999 again !



The NASDAQ Index has outperformed the DJ Industrial Average Index over 7 out of the last 8 quarters by a very significant 63 pp. While it is true that the technological sector is disrupting long established patterns in the world economy, we believe that the recent outperformance is rather unsustainable and that a reversal of this trend is in the offing. The relative valuation between the NASDAQ Index and DJ Industrials Average Index has risen to levels last seen in 1999, that is at the peak of the Dot.com bubble!

The upside potential for EURUSD



Amid broad US Dollar strength over Q1'21, the EURUSD-X retraced by 3.98%. Further social restrictions in the Eurozone and delays in vaccination campaigns dampened the allure of the Euro while a strong US economy in tandem with rising yields boosted the appeal of the US Dollar. However, we strongly believe that sentiment towards the Eurozone will improve over coming months and that the EURUSD will resume its appreciating trend, as highlighted by the trend channel in the EURUSD chart.

Portfolio Performance

The first quarter of 2021 was market by rising yields across developed fixed income markets as markets fret over the possibility of rising inflationary pressures.

Our overall equity exposure was increased further for our riskier strategies. Our exposure to Solar thematic was removed as we booked profits on the position. Eventually, the price of the security retraced by more than 20%. An exposure to Chinese equities was added to international portfolios while an Exchange Traded Fund (ETF) capturing the disruptive Blockchain industry was also included in portfolios.

Fixed income markets experienced their worst quarter since the 1980's and impacted negatively on the performance of our strategies, especially the more conservative ones. We expect less volatility going forward in fixed income markets and expect portfolios to recover strongly over the rest of 2021. We took advantage of the rising yields to initiate positions in long term sovereign debt issues.

On the domestic markets, we consolidated our exposure to the local financial sector and conglomerates while maintaining an adequate diversification strategy with a potential further weakening of the Mauritian Rupee in mind.

Conservative	QTD	YTD	1 Year	3 Years (ann)
USD	-2.57%	-2.57%	8.34%	-1.46%
EUR	-	-	-	-
MUR	-1.55%	-1.55%	6.35%	5.31%

Defensive	QTD	YTD	1 Year	3 Years (ann)
USD	-1.23%	-1.23%	12.66%	1.85%
EUR	-0.08%	-0.08%	8.38%	-
MUR	-1.77%	-1.77%	6.86%	1.62%

Balanced	QTD	YTD	1 Year	3 Years (ann)
USD	-2.24%	-2.24%	15.77%	0.87%
EUR	1.30%	1.30%	9.00%	2.38%
MUR	-1.61%	-1.61%	14.10%	0.12%

Trade Ideas

The Green Road to Recovery – AXYS European Climate Change Opportunities Basket:

The COVID-19 pandemic has highlighted how vulnerable our socio-economic organization is to natural disasters. Climate change could generate severe weather events having major social or economic implications. To address these futures challenges, the European Commission has launched its Green Deal Investment Plan mobilizing at least EUR 1,000 Billion in sustainable investment over the next 10 years. This ambitious program represents a unique opportunity for investors wishing to get exposure on companies involved in the Green Transition. The forthcoming massive spending and incentives will be beneficial to our AXYS European Climate Change Opportunity strategy. This basket of European stocks has been designed in partnership with one of the leading European investment banks to optimally capture the Climate Change Opportunities trend in Europe. [See Product Factsheets Page 23-24]

Commodities – The perfect hedge against inflation

The current global economic and geopolitical situation have given rise to state interventionism. In Europe especially – the Green Deal and the Recovery Fund have been set up to meet future challenges of the old continent. The Green Deal is the EU's goal of climate neutrality by 2050 while the Recovery Fund is an envelope of EUR 750B aiming to mitigate the economic and social impact of the COVID-19 pandemic. Therefore, we believe that the forthcoming flows of monies into Europe to counter its underperformance will benefit this strategy since the latter encompasses themes directly impacted by the Green Deal. Moreover, the strategy presents exposure to tech companies which should benefit from the Tech revolution. This basket has been designed in partnership with one of the leading European investment banks. [See Product Factsheets Page 25-26]

Mauritian Equities – A revival on the horizon

Since its peak at 2,247 on the 23rd January 2020, the SEMDEX has lost 28.8% to date. While most stock markets around the world have recouped their losses after last year's collapse, the Stock Exchange of Mauritius (SEM) has yet to witness a similar reversal. The SEM was among the worst performing equity markets in 2020. Markets never move in one direction only and, as such, the SEM is bound to see a turnaround in its trend. In this context we propose the AXIOM Equity Fund as a judicious investment. AXIOM Equity Fund invests in the SEM constituents only. Since its inception on the 1st of August 2014, the fund has outperformed the SEMTRI by 10.5%. The Fund focuses on investing in companies with strong fundamentals and future prospect. [See Product Factsheets Page 27]

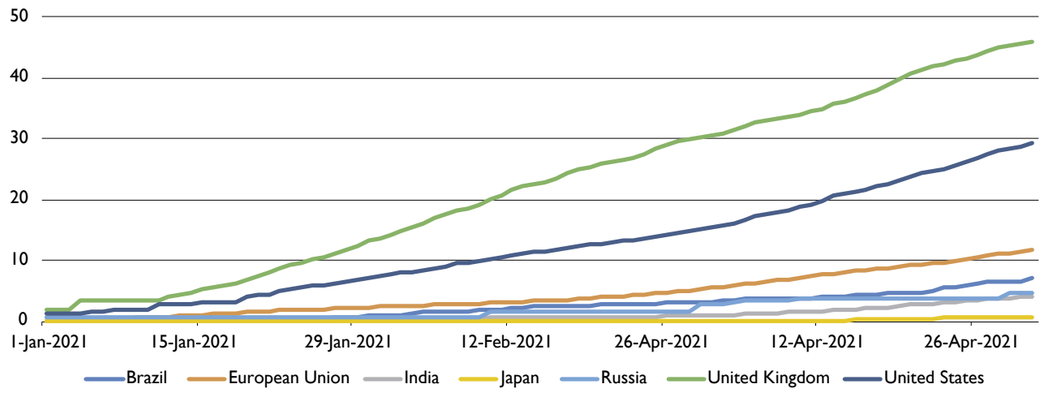
Recovery finally gains traction?

Despite a longer and stronger wave of COVID infections in late 2020, the economic data flow since our last quarterly has been better than we expected into early 2021. It seems that countries, governments and citizens have learned to better manage the effect of COVID-19. Positive news on the vaccination front has been encouraging but has also resulted in a time trial opposing vacinations to mutations. As such, uncertainty about the evolution of the sanitary crisis and its economic effects still prevail albeit 2020 pandemic acclimatisation.

Uneven COVID-19 Vaccination:

Vaccine news flows have been a huge market boost since late November. New vaccines continue to hit the market and rollouts are accelerating, although at a highly uneven rate. The U.K. and the U.S. are outperforming on the vaccine front while Asia (see chart below) generally lags on vaccine rollouts.

COVID - 19 Vaccination per 100 people



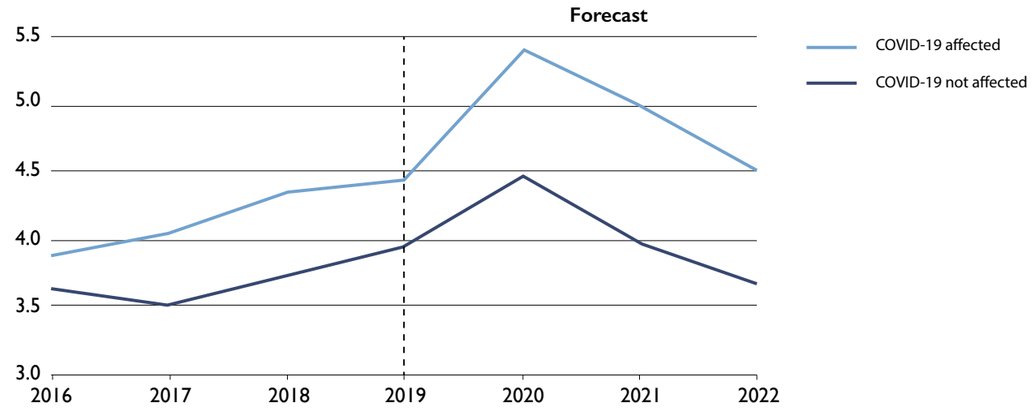
***Source**: Our World in Data*

Disorderly Reflation?

As we emerge from the first pandemic-driven economic and financial shock in over a century, it is important to distinguish desired outcomes from legitimate risks. The main risk to this desired outcome is that reflation happens too quickly or in an uneven manner. Credit spreads could widen and policy reactions could be disruptive. The Fed could underestimate the wage and price response to the stimulus, forcing it to raise rates quickly; this would not only slow the U.S. recovery, but would almost certainly generate a round of market volatility that would reverberate in other economies. Even if the U.S. stimulus plays out domestically as intended, differences across sector recoveries could put firms with slowly growing earnings under stress as funding rates rise. And the differential between the U.S. rebound and the rest of the world could open-up interest rate and growth caps that could pose challenges to emerging markets, such as capital outflows, or for advanced markets to the extent that higher U.S. rates leak into their domestic markets. From a credit prespective the following are areas investors must focus on:

1. Cost-push inflation may hurt profit margins if raw materials, commodities prices are disproportionally affected.
2. Recoveries are not immune from challenges especially since working capital will be pressured to rebuild inventories and address supply chain shortages.
3. Debt costs would particularly hit highly leveraged entities, mainly the ones in COVID-19 exposed industries such as leisure and transportation.
4. Desynchronized growth may pose particular risks for some emerging market credits since they would have benefited from capital inflows seeking yield alternatives.

Global median debt to EBITDA for nonfinancial sectors most and least affected by COVID-19



The Influence of Politics on the Markets

The worlds of politics and finance continue to be interlinked.

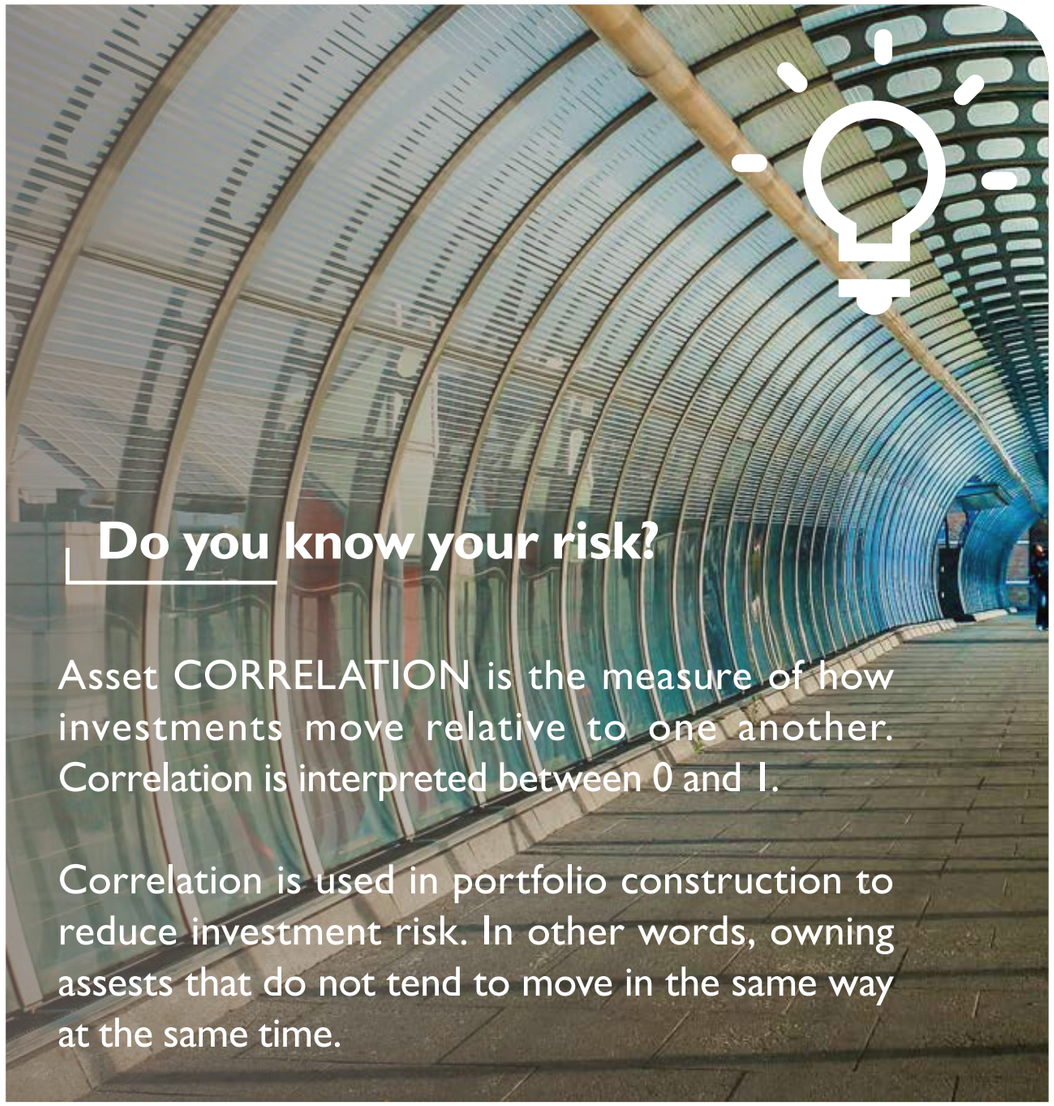
The VIX Index did not suffer any major spikes during Q1'21. However, there was a momentary increase as retail traders continued to wage their battle against hedge funds.

VIX Index - Since 2020



The major political themes to consider for the next quarter and which could impact the market are as follows:

- US-China relations: The US and China concluded their first high-level face-to-face meeting in Alaska but concluded the two-day session without releasing a joint statement. The trade war is still ongoing and economic sanctions towards both sides continue to be raised.
- Vaccine Diplomacy: As the US isolates itself from the global effort surrounding vaccination cooperation, China and India are stepping up their influence in Africa and South America. China and Brazil recently reached an agreement on 5G. The first key ally of the US to switch side is a major win for Huawei.



Do you know your risk?

Asset CORRELATION is the measure of how investments move relative to one another. Correlation is interpreted between 0 and 1.

Correlation is used in portfolio construction to reduce investment risk. In other words, owning assests that do not tend to move in the same way at the same time.

Commodities: A new Cycle?

Most of known modern periods of long term rising commodity prices (super-cycles) happened during periods of strong economic growth such as the 1910's rapid industrialisation in the US, the post-war re-industrialisation in Germany and Japan, or, closer to us, the BRICS coming of age in the early 2000.

Indeed, quite logically heavy infrastructure and industrialisation resulted in a tremendous increase in the demand for commodities and saw their respective price surge. In 2008, the commodities super cycle reached its peak, with the Bloomberg Commodity Index having risen by 152% since the start of the new millennium.

The above examples of economic rebounds were driven by Keynesian policies and their usual manifestation such as the relaunch of vast national infrastructure projects and by prolonged low interest rates encouraging greater lending and spending. These were also periods where the US Dollar was relatively low which would certainly have helped to keep the cycle going.

And although history apparently never repeats itself, we believe that it does sometimes stutter.

The global economic recovery is gathering momentum. As the world slowly emerges from the recent global pandemic. governments and central banks have adopted prompt responses to fight the accompanying economic crisis and to revive the economy as fast as possible. These efforts were conducted mainly through:

a) extremely liberal monetary policies in the US, Europe and Japan that were focused on supporting the financial markets

b) Fiscal stimuli aimed at helping the real economy kick back into action.

The latest economic data points towards a strong momentum in both the manufacturing and service sector, with the latter perhaps lagging slightly behind. In March, the ISM Manufacturing print in the US was the highest since 1983.

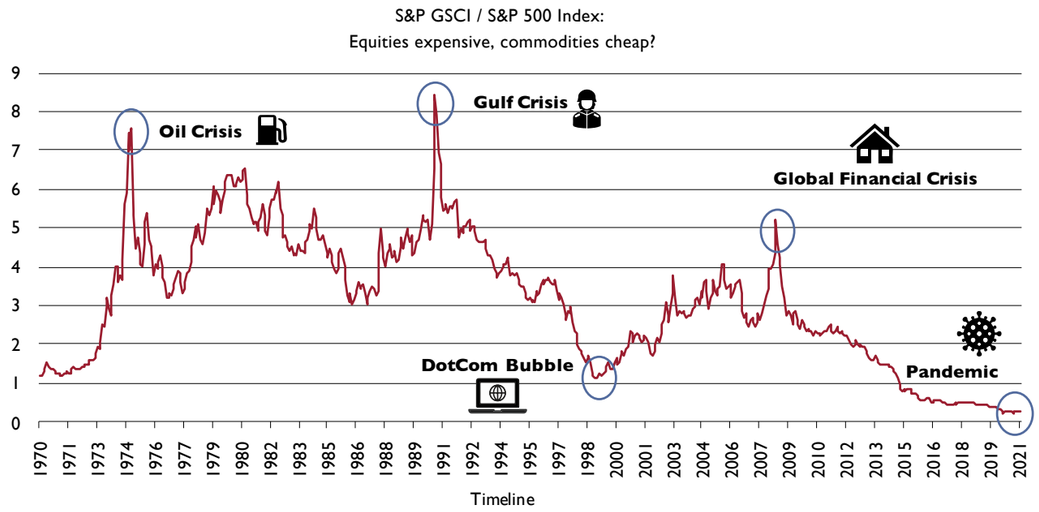
President Biden USD 2 trillion infrastructure plan, unveiled at the end of March entails massive investments in housing, airports, ports, bridges, highway aimed at bolstering the post-pandemic economy as well as trying to address the issue of the climate change.

In our view these conditions could set the stage for a strong sustained commodity rally in the near to mid-term. We expect the Bloomberg Commodity Index to rise by at least 25% over the next 12 months.

One should bear in mind that the Biden plan is 20x larger than the 2009 Obama GFC Recovery Act which tried to address the structural American infrastructure underfunding issue. The result, coupled with rising Chinese demand, led to a dramatic increase in the demand for commodities and particularly metals. The Bloomberg Industrial Metals Index rose by 79% in 2009.

Notwithstanding the above demand/supply issue we also are very attentive to the entry point. Indeed, on a 50-year S&P GSCI relative to S&P 500 graph, it is at its lowest level and hence represent an extremely attractive entry point.





Data as of March 2021
***Source**: Bloomberg, U.S. Global Investors*

The Green Revolution

The Green revolution is obviously nothing new: the progressive shift from fossil energies to renewable ones has been on the political and economic spectrum certainly since the 1970's and most experts expect that renewable energy will account *"for >30% of total electricity generation surpassing the coal-fired generation"* .

The trend does seem to have accelerated dramatically in the last decade with governments increasingly allocating funds to finance the transition. The recently announced EU fiscal stimulus of €1.8 trillion comes with more than a shade of green with 30% dedicated to fighting climate change & the Biden administration allocated just over 20% of its USD 2 trillion infrastructure plan to shift away from fossil energy.

The private sector is similarly embracing the transition with, for instance, car manufacturers in America and Europe having promised to stop the production of vehicles with internal combustion engines by 2035.

The massive gearing up of renewable energetic production through solar panels and windfarms requires vast amounts of industrial and precious metals (cobalt, lithium, nickel sulphate, silver and aluminium) against a probable trough in the demand for more traditional commodities such as oil and gas. Metals are also particularly of interest due to the risk of supply shortage caused by their use in the growing renewable energy space. This added to increasingly falling CAPEX from producers could create a trigger effect on prices that could send them flying.

A smart commodity allocation, taking into account the Green Revolution, should enable strong performances and could also have the benefit of acting as a hedge against future inflationary pressures.

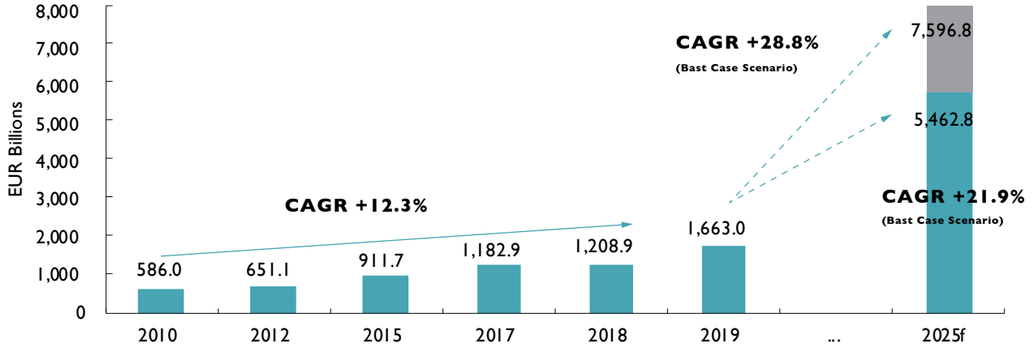
[1] Renewable Energy: Green shoots for a Green Revolution, CFRA Research, April 2021.

Sustainability – Shaping the Future of Investing

The COVID-19 pandemic has challenged several aspects of our social and economic organization. The pandemic as well as the MV Wakashio Oil spill crisis highlight the importance of a correct assessment of risks associated with events such as natural disasters on the economy and social welfare. When it comes to capital allocation, we believe that investors should integrate a sustainability dimension to their investments. While we acknowledge that investors in some regions are more advanced on that topic, we believe that the recent unfortunate crisis that we faced triggered a historic turning point for Mauritian and African investors. This unique opportunity will enable us to create long-term sustainable returns for us and for future generations by reconciling environmental, social and governance issues with investment performance. Europe

Sustainable Investing Maturity

For many years now, European investors have integrated the sustainability dimension into their investment decisions. Strict and comprehensive policies have been put in place at a regional level over the years. This has pushed Institutional Investors towards the allocation and disclosure of sustainable investments. Over the last ten years this has contributed to a significant Asset under Management (AuM) growth in Environmental, Social and Governance (ESG) products as depicted by Figure 1.



Note: (CAGR) Compound Annual Growth Rate

Figure 1: European ESG Mutual Fund Asset under Management (EUR Billions)
Sources : PwC 2022 The Growth Opportunity of the Century Are You Ready for the ESG Change ?

According to the European Sustainable Investment Forum ('Eurosif'), Socially Responsible Investing (**SRI**) is booming in Europe especially among retail investors. As shown in Figure 2, the proportion of **SRI** assets managed for retail investors jumped significantly, from slightly above 3% in 2013 to almost 31% in 2017.

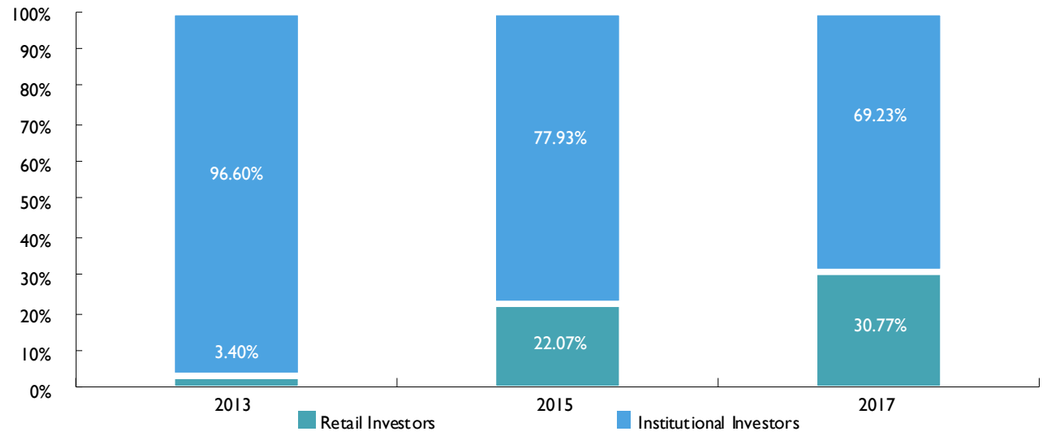


Figure 2: Proportion of SRI Assets under Management Held by Retail and Institutional Investors
Sources : Can Responsible Investing Encourage Retail Investors to Invest in Equities. M.Briere, S. Ramelli, Mar 21

A recent research conducted by Brière and Ramelli (2021)1 shows that this boom can be attributed to:

1. A growing interest from retail investors for **SRI** products as they feel more and more concerned about environmental, social and governance issues.
2. Increasing regulations and political initiatives in Europe such as the inclusionof **SRI** funds as part of the employee saving plans offered in France.

We believe that the increasing investors' awareness about **ESG** risks observed over the recent years should continue and thus, should lead sustainable investing towards becoming the norm of investment. In such context, we expect sustainable investment prices to inflate further, presenting a unique opportunity to investors.

The European Sustainability Premium

In this section, we measure and compare the performance of the traditional European stock market index – *MSCI Europe Index TR Index (EUR)* against its **SRI** version – *MSCI Europe SRI Index TR Index (EUR)* over the last 14 years. The idea is to assess whether a **Sustainability Premium** exists for European stocks rewarding investors for holding **SRI** stocks. Our empirical findings suggest that a **Sutainability Premium** does exist in Europe.

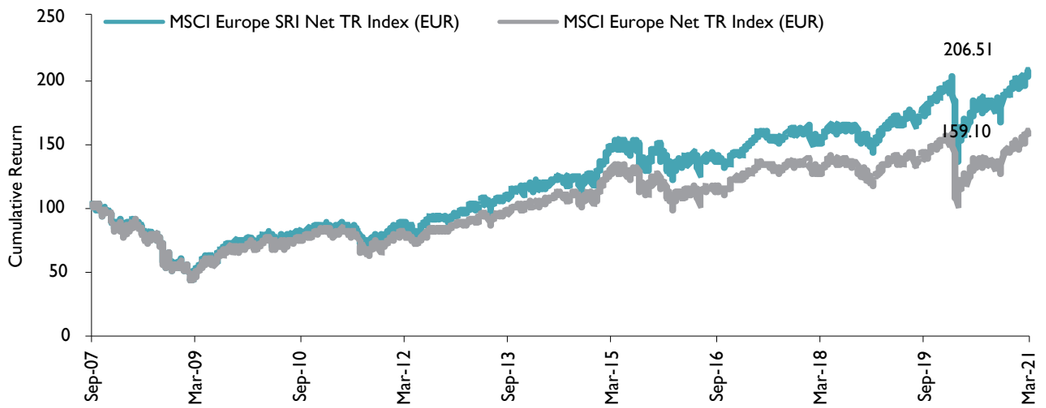


Figure 3: Cumulative Return (EUR) - MSCI Europe SRI Net TR Index vs MSCI Europe Net TR Index

As depicted by Figure 3, the Sustainable Index has outperformed the Standard Index over the last 14 years and the cumulative **Sustainability Premium** represents more than 47%.

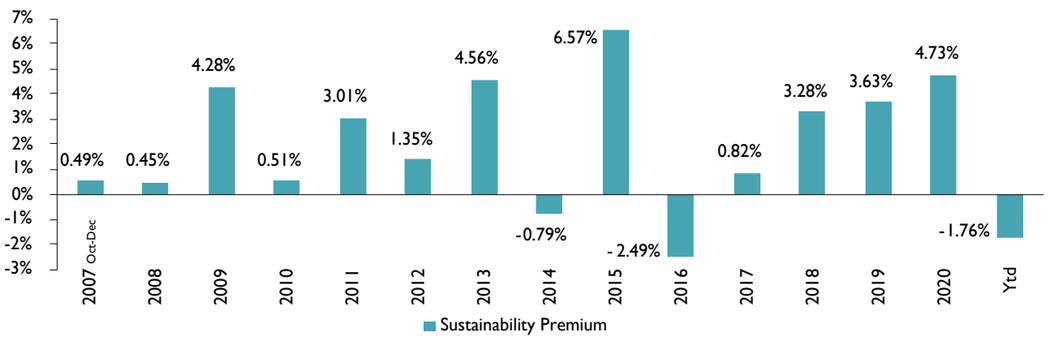


Figure 4: Historical European Sustainability Premium

[1]Marie Brière and Stefano Ramelli: Can responsible investing encourage retail investors to invest in equities?

Figure 4 shows that the **Sustainability Premium** is consistently positive over the last 14 years, with only 3 occurrences during the period being negative.

Fund Management Lab

	MSCI Europe SRI Index TR (EUR)	MSCI Europe Index TR (EUR)	Sustainability Premium
Annualised Return	5.51%	3.50%	2.02%
Annualised Volatility	19.02%	19.63%	3.14%
Risk-Adjusted Return	0.29	0.18	0.64

Index Return Data from Sep, 28 2007 to Mar, 31 2021
Table 1. SRI vs Standard Index Statistics

Finally, Table 1 shows that European SRI stocks have a higher annualised return and are less volatile than other European stocks. The annualized return of the Sustainability Premium is approx. 2%.

Why alternative solutions are suitable for investors?

While the definition of alternative investments can be loose, they are assets that offer investors an additional source of return, which is usually uncorrelated to the rest of their portfolio. Ultimately, they allow investors to diversify their portfolio. The importance of uncorrelated assets is especially apparent during market downturns, such as the 2008 recession or the more recent COVID-19 stock market crash. AXIOM Sustainability Premia has been constructed to be resilient during market downturns, while participating in stock market upsides, with an added layer of sustainability.

Capturing the Sustainability Premium

Risk premia strategies are systematic investment processes that aim to capture excess return arising from market anomalies. For instance, some famous investors such as Warren Buffet use a value risk premium strategy for their investments. This strategy favours stocks that are traded at a lower price relative to their intrinsic value. By doing so, Value investors expect to be rewarded by a positive excess return against the market. Our conviction is that the same rationale could be applied for **Sustainable Investing**-compliant stocks. These companies are those having already adhered to strict Environmental regulations and Social and Good Governance practices. They are better managed and should therefore generate higher returns over the long run.

AXIOM Sustainability Premia

AXIOM Sustainability Premia aims to capture the risk premia of European sustainable stocks versus the market. The risk premia in this case refers to the amount by which European sustainable stocks are expected to outperform the EuroStoxx 50. The Fund's strategy is designed to benefit from the ongoing ESG bull trend, while mitigating the impact of market crashes. These are implemented though a long-short strategy. The Fund targets market neutrality by taking a long position on ESG stocks and hedges by taking a short position on the European Index. Subsequently, the strategy benefits from long-term appreciation of ESG related equities while being hedged against the adverse effects of market events. Overall, the strategy aims to exploit market inefficiencies, providing investors with an uncorrelated product to navigate the stock market throughout different market cycles. As previously mentioned, the European stock market universe is considered as the most mature sustainable universe, and as of Q4'20, European sustainable funds surpassed the EUR 1 Trillion milestone. This makes the European stock market ideal for such a strategy.

Simulation

	Strategy
Cumulative Return	76.53%
Inception (Ann)	5.68%
3Y (Ann)	5.29%
5Y (Ann)	3.39%
Standard Deviation Ann	4.92%
Sharpe Ratio	1.15
Beta	0.03
Upside Beta	0.06
Downside Beta	0.06
Max Drawdown (Monthly)	-4.84%

Table 2: Performance metrics

Event	**Strategy**	**SX5E**
Aug 2011 Black Monday	-4.84%	-19.20%
Feb 2016 Crash	4.08%	-17.05%
2018 Tech Crash	-1.14%	-14.81%
COVID-19 Crash	-0.68%	-32.91%

Table 3: Market Events

Table 3 highlights the performance of AXIOM Sustainability Premia during significant market crashes over the last decade. The simulation has proven to be robust during each of the mentioned crisis. Notably, during the 2020 COVID-19 crash, the Fund returned -0.68%, whilst being solely invested in the traditional equity market would have returned -32.91% - this demonstrates the importance of the downside protection part of the strategy.

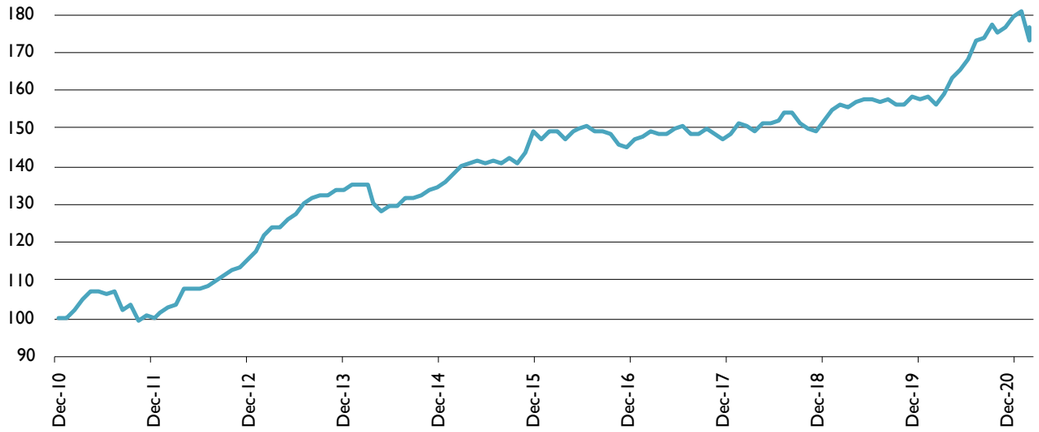


Figure 5: Strategy Cumulative Performance

The strategy was back tested on a 10-year period from 17th December 2010 (starting point) to 31st March 2021 (ending point). The strategy returned 76.53% in cumulative return as depicted in Figure 5 below. Annualized return stands at 5.68% for the strategy with an annualized volatility of 4.92%. The max monthly drawdown stands at -4.84%. The strategy has a Beta of 0.03 and has been able to achieve quasi-market neutrality.

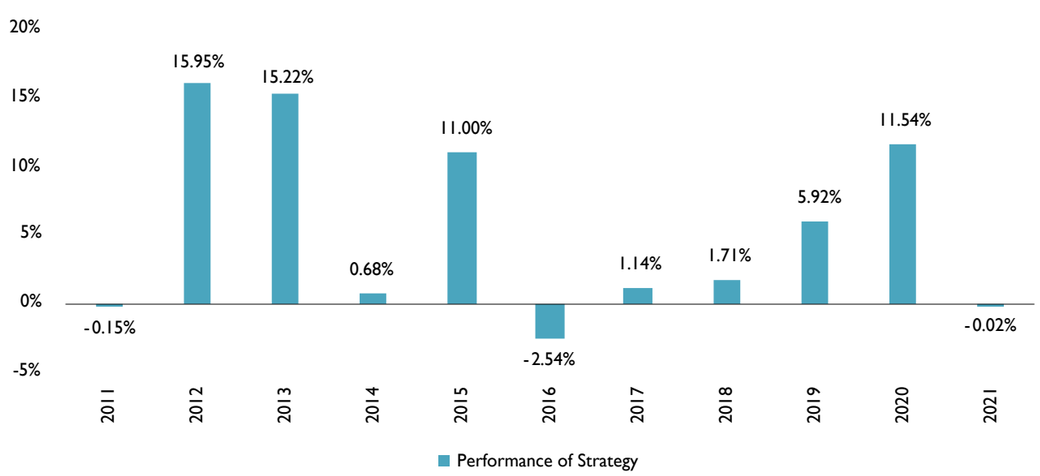


Figure 6: Calendar Year Performance

Furthermore, in 2020 the Fund returned 11.54% whereas the market closed the year with -0.98% - showing the strong and consistent performance of sustainable stocks throughout different market environments (also shown in Figure 6). The track record of the strategy is aligned with its purpose as investors are protected during distressed and highly volatile markets and at the same time benefit from the momentum behind ESG stocks performance going forward. We reiterate our belief that sustainable stocks have a long-term competitive advantage over their non-sustainable counterparts and are expected to outperform the market as the world turns towards green practices.

[1]Morningstar: European Sustainable Funds Landscape: 2020 in Review (2020)

Product Description

This investment solution is a certificate that tracks an underlying index comprising of stocks which will benefit from arising opportunities linked to climate change. It focusses on European leading companies that are at the top of research and innovation in their sector, driving the transition to a low carbon world. The underlying basket currently has been constructed via a scoring process with a smart beta filter and an equal risk contribution weighting. The basket contains around 60 stocks across 13 European countries and 14 sectors. The product is available in EUR, can be redeemed daily

Basket Highlights

Issue Size	EUR 1 Million
Inception Date	February 2017
Currency	EUR
Minimum Investment	EUR 10,000

Investment Case

2020 was a tumultuous year for investors across almost every single market. Such an unforeseen and sudden pandemic has depicted the vulnerability of economies to systematic events of global scale that transcends economics. To address these forthcoming headwinds the European Commission is pooling EUR 1 Trillion under the Green Deal Investment Plan for sustainable investment over the next decade. This state level commitment is sourced from the Paris Climate Accords further cementing the investment philosophy. As such, our portfolio is well positioned to benefit from these upcoming influxes of monies and incentives which will drive the transition to a low carbon world.

Performance of AXYS Climate Change Opportunities Basket



Product Factsheet:
AXYS Climate Change Opportunities Basket

Target Audience

This basket is for:

- EUR based investors or investors who want an exposure to European equities.
- Investors who believe in 'low carbon transition' and green sustainable growth.
- Investors who wish to pursue opportunities linked to climate change as part their investment strategy

Basket Metrics (as at 31st March 2021)

Year-to-Date	7.8%
Annualised Return since Inception	10.2%
Annualised Volatility	16.5 %

Geographical Exposure

Sectorial Exposure

Risk Comments

- This product is focused on Europe and its dynamic sector composition which is primarily driven by our partner's selection process and stock performance can overweigh sector. Sector risks may impact the performance of the product.
- The basket is denominated in EUR but also invests in non-EUR denominated equity. Therefore, fluctuations in FX rates might negatively affect performance.
- The performance may be affected in case this ESG-related theme goes out of favour as economies around the world are redeploying resources to recover from the COVID-19 pandemic.

Portfolio Allocation Guideline: Up to 5%

Risk Score: 1 2 3 4 5 6 **7** 8 9 10

Investment Risk rating: Medium-High

Product Factsheet:
Global Natural Resources Fund

Product Description

The Fund reports in USD but invests in a diverse selection of fundamentally sound natural resources companies that own or develop natural resources and other basic commodities. The portfolio has been constructed from a bottom-up stock selection process with a long term buy and hold philosoph. The portfolio mix consists of 113 holdings across 9 sectors, 18 countries and 10 currencies.

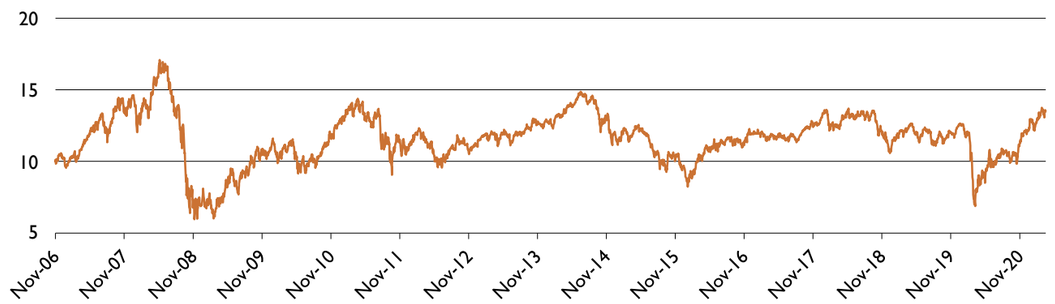
Fund Highlights

AUM	USD 114 Millions
Inception Date	November 2006
Currency	USD
Minimum Investment	USD 10,000

Investment Case

2020 was undeniably a turbulent year for commodities where prices, at the peak of the pandemic, plummeted as global economic activity temporarily stopped. However, over the last 12 months, prices for commodities have soared as the global economic situation improved. Considering the plethora of economic rescue plans initiated by governments worldwide and the rapidly healing economy, demand for commodities is expected to increase further and could potentially trigger the beginning of a new commodity cycle. Moreover, commodities could provide a smart hedge against rising inflationary pressures.

Performance of AXYS Climate Change Opportunities Basket



Product Factsheet:
Global Natural Resources Fund

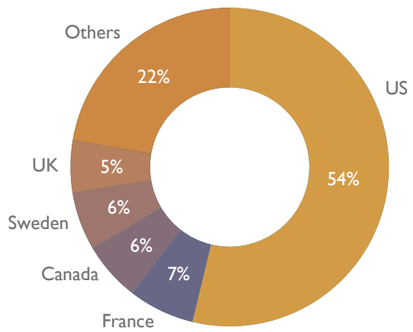
Target Audience

- Investors who wish to have an exposure to cyclical commodities at the start of an economic cycle.
- Investors who wish to build an exposure towards commodities to hedge against inflation.

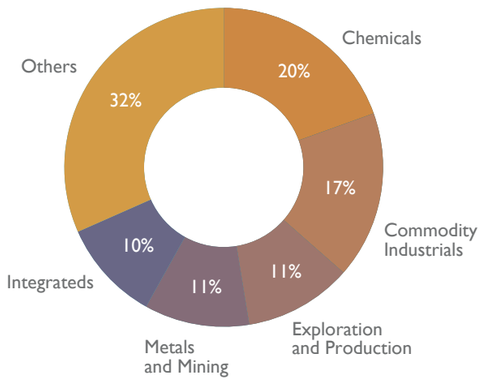
Basket Metrics (as at 31st March 2021)

Year-to-Date	11.0%
Annualised Return since Inception	2.1%
Annualised Volatility	26.9%

Geographical Exposure



Sectorial Exposure



Risk Comments

- The investment strategy behind commodities relies on the strength of the economic cycle. Should this cycle lose momentum and pertinence, the Fund's performance may be affected.
- Since the fund is not hedged against non-USD currencies, FX fluctuations could impact performance.

Portfolio Allocation Guideline: Up to 7.5%

Risk Score: 1 2 3 4 5 6 **7** 8 9 10

Investment Risk rating: Medium-High

Product Factsheet:
AXIOM Equity Fund

AXIOM Equity Fund: Fund Objective

The investment objective of the fund is to achieve long term growth through a blended investment strategy consisting of both growth and value stocks. All dividends are reinvested given their importance in driving long-term portfolio growth. The fund invests only in equities listed on the Stock Exchange of Mauritius.

Fund Manager Comments

The Fund was down 2.10% during the month while the SEMTRI had a positive performance of 0.12%. SEMTRI's performance was mainly driven by the increase in the price of hotel counters with SUN Resorts up 24.2%, NMHL up 11.7% and LUX Resorts up 8%. Ciel Ltd was during the month on low volume. The Fund is not exposed to hotel counters to avoid the uncertainty that currently prevails in the sector due to the pandemic.

Statistics figures by CSO Mauritius shows that the Economy contracted by 10.80% in Q4 2020. The main contributors were accommodation and food services, manufacturing, transportation and wholesale and retail trade.
The Fund's investments have strong fundamentals, and the actual portfolio is expected to benefit strongly from a rebound in the market.

Total AUM	Rs. 58.9m
NAV (Class R)	10.15
NAV (Class I)	10.63
Initial NAV	10.00
Currency	MUR
Inception Date	01 August 2014
Total Annual Fund Operating Expense Ratio	2.00%
Min. Investment (Lump Sum)	MUR 100,000
Fund Manager	AXYS Investment Partners Ltd
Entry / Exit Fee	Up to 2%

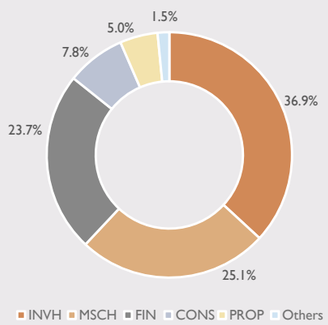
Gainers

▲ 3.6%	▲ 0.5%	
SBM	ALTEO	

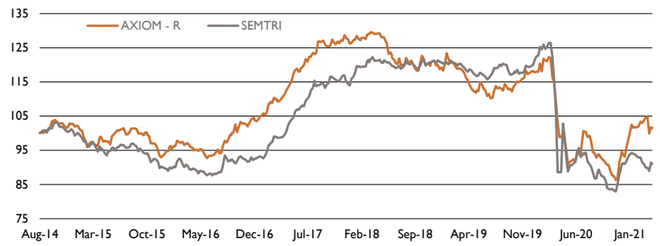
Laggers

▼ -6.3%	▼ -4.5%	▼ -3.3%
HML	APL	MCB

Sector Allocation



Fund Performance (Class R)



Performance (Class R) at 31 March 2021

	AXIOM - R	ALEXTRI	SEMTRI
1 Month Return	-2.10%	0.30%	0.12%
3 Months' Return	1.75%	-2.53%	-2.90%
YTD	1.75%	-2.53%	-2.90%
12 Months' Return	2.67%	2.91%	2.79%
Return since Inception	1.54%	-22.46%	-8.96%
Annualised Return since Inception	0.23%	-3.74%	-1.40%

Target Audience

This Fund is for:

- Investors who believe that Mauritian stock market will recover from current low levels and catch up global stock markets
- MUR based investors or investors who want an exposure to Mauritian stocks that are expected to benefit from the economic recovery.

AXYS

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T: (230) 405 4000 - E: investment@axys-group.com - W: axys-group.com